

LFB HOLDINGS

Decision Distortion Assessment Reports

BASE REPORT

Your Decision Distortion Assessment — Noise Is Your Dominant Force

Your assessment is in. Of the four forces that bend organizational judgment under pressure, noise is showing up most actively in your company right now. That's worth understanding clearly, because noise is the one force that rarely feels like a problem from inside the organization experiencing it.

Of the four forces — noise, bias, accumulation, and incentive misalignment — noise is the most distributed. Bias pushes judgment in a consistent direction; accumulation builds across decisions over time; incentives govern how fast either compounds. Noise operates differently: it scatters conclusions across people and moments, turning the same information into different answers depending on who's in the room and when. The damage isn't a single wrong call. It's the erosion of the organization's ability to reach reliable ones.

What noise is

Noise is unwanted variability in judgment — the same information producing different conclusions, even from the same people, depending on who's in the room and when the conversation happens. It is not disagreement. Disagreement is two people with different views on the same facts. Noise is two people — or the same person on different occasions — reaching different conclusions from identical inputs with no principled reason for the divergence.

Two forms operate differently. Level noise is consistent differences between evaluators — one executive is reliably more optimistic, another reliably more conservative, not because of the data but because of who they are. Pattern noise is more disruptive: different people weighting different features of the same situation, so the team isn't actually evaluating the same thing even when it believes it is. Both produce the same visible symptom — inconsistent conclusions — from different mechanisms, and they require different responses.

In a venture-backed company operating under pressure, noise turns reliable signals into organizational static at exactly the moment you can least afford it.

How it typically shows up

A company's Monday product review looks at usage data and reads it as evidence that the product is working. Thursday, different meeting, different attendees, same data — the conclusion is that it's too early to tell. No one notices that the company has given two answers to one question in a single week. Three weeks of roadmap paralysis follow. From outside, it looks like weak demand signal. From inside, it feels like a hard call in an ambiguous market. What actually happened: unstable evaluation standards converted a real signal into noise before anyone made a decision.

That's the mechanism. The data wasn't the problem. The absence of shared standards for reading the data was.

Where your assessment is pointing most clearly within noise is on decision memory. The question your assessment flagged is whether your organization captures not just what was decided but why — including the options that were considered and set aside. When that documentation doesn't exist, two things happen. First, the organization loses the ability to distinguish between a good decision that produced a bad outcome and a bad decision that produced a bad outcome — which means it can't learn correctly from either one. Second, when similar situations arise, the evaluation process starts from scratch, with whatever assumptions and standards happen to be active that day. Decision memory isn't administrative overhead. It's the mechanism that converts individual decisions into organizational learning — and its absence is one of the primary ways noise compounds across time rather than self-correcting.

Where to start

The first intervention is a decision log with a fixed format. For every significant decision, capture three things at the moment it's made: what was decided, what reasoning drove it, and what would have to be true for it to be wrong. That third element is the one most organizations skip and the one that does the most work — it converts the decision record from an archive into a learning instrument, because it gives you something specific to check when the outcome arrives.

The second is a scheduled lookback, not an ad hoc one. Pick a fixed interval — quarterly works for most companies at this stage — and review the decisions made in that period against what has since become visible. Not to assign blame. To ask whether the reasoning held, whether the assumptions were right, and whether the same reasoning would lead to the same call today. The discipline is in the schedule: a lookback that only happens when something goes wrong is a post-mortem, not a learning practice. The goal is to run it when things are going well too, because that's when the most instructive corrections are available and the least defensiveness is in the room.

The research behind this

The academic foundation for what your assessment detected comes primarily from *Noise: A Flaw in Human Judgment* by Daniel Kahneman, Olivier Sibony, and Cass Sunstein — the most rigorous account of how uncontrolled variability in judgment operates across organizations, and why it causes more total decision error than most leaders realize. The finding that organizations routinely underestimate their own noise levels — and that the errors don't cancel out, they accumulate — is directly applicable to what your scores are showing.

What's next

The full Decision Distortion whitepaper from LFB Holdings walks through how noise combines with the other three forces — bias, accumulation, and incentive misalignment — and how to locate the specific points in your decision process where a single closed gap would have the greatest effect.

If you'd like to talk through what your results mean for your company specifically, we're glad to do that.

LFB Holdings: lfbholdings.com

For ongoing case-by-case analysis of how these forces operate in real organizational decisions, Bad Call is a subscription brief that applies this framework to actual decision sequences — company autopsies, one at a time.

Bad Call: badcall.ai